KERALA STATE ELECTRICITY REGULATORY COMMISSION THIRUVANANTHAPURAM

Petition No: OP 41 / 2025

Present	:	**Adv. A. J. Wilson, Member** **Sri. B. Pradeep, Member**
In the matter of	:	Petition filed by M/s Kanan Devan Hills Plantations Company Private Limited for Mid Term Performance Review and Revised ARR & ERC for the MYT Control period 2022-23 to 2026-27
Petitioner	:	M/s Kanan Devan Hills Plantations Company Private Limited (KDHPCL)
Represented by	:	Sri. Sachin Prabhu, KDHPCL Sri. Emil.S, KDHPCL Sri. R. Jayaraman, KDHPCL
Respondent	:	M/s Kerala State Electricity Board Limited
Represented by	:	Sri.Shan B.S, Asst. Executive Engineer, KSEB Ltd
Date of Hearing	:	10.09.2025 at Court Hall, Office of the Commission

Order Dated 26.11.2025

1. M/s Kanan Devan Hill Plantations Company Private Limited (hereinafter referred to as KDHPCL, the petitioner or the licensee) is the distribution licensee supplying electricity in its license area at Munnar. KDHPCL procures electricity from KSEB Ltd for the supply to its consumers and for its own consumption.

2. The Kerala State Electricity Regulatory Commission (hereinafter referred to as the Commission) had notified the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021 (hereinafter referred to as Tariff Regulations, 2021) on 16-11-2021 for the five-year Control Period starting from the first day of April 2022 and ending on the thirty first day of March 2027 (hereinafter referred to as Control Period). As per Regulation 10(2) of the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021 states that "*Every generating business/ company or transmission business/ licensee or distribution business/ licensee or State Load Despatch Centre shall file, on or before the thirtieth day of November 2024, the Mid-term Performance Review (MPR); which shall comprise of the truing up for the financial years upto 2023-24 and mid year performance review for the year 2024-25 upto*

September 2024 and the revised forecast, for the years 2025-26 and 2026-27 on account of the unexpected variations, if any, on the controllable and uncontrollable parameters."

3. The licensee has filed the petition for Mid Term Performance Review and Revised ARR & ERC for the control period 2022-23 to 2026-27 as per provisions of Tariff Regulations 2021. The licensee has submitted actuals (Unaudited) for the year 2024-25 and revised estimates for the years 2025-26 and 2026-27. The licensee in the petition has proposed increase in sales for the remaining years of the control period, O&M expenses higher than the norms, higher depreciation considering the commissioning of 33/11 kV Sub-station, interest and finance charges etc. In view of the increase in sales, increase in revenue from sale is proposed at the applicable tariff and increase in non tariff income is also proposed. The summary of the projected ARR & ERC for the control period and comparison of ARR & ERC approved vide Order dated 26.02.2024 (OP No. 28/2022) is shown below:

Table 1
Comparison of ARR & ERC and Truing Up for 2022-23 & 2023-24 (Rs. lakh)

Particulars	2022-23			2023-24		
	ARR & ERC Approved	Truing Up Petition	Trued up	ARR & ERC Approved	Truing Up Petition	Trued up
Purchase of power	2,956.36	3,161.70	3,163.37	3,103.55	3,370.52	3,370.52
Employee Cost	167.50	179.80	171.67	174.96	216.32	177.52
A&G Expenses	13.88	30.50	19.37	14.50	18.90	17.12
R&M Expenses	42.01	57.54	43.06	43.88	49.74	44.53
Depreciation	13.07	13.11	12.18	15.07	15.24	13.74
Interest and Finance charges	41.38	59.62	50.12	48.71	71.46	64.32
Other Debits	1.19	18.07	1.22	1.25	18.54	1.29
Return on NFA	7.03	5.76	7.03	7.03	5.71	5.23
Total Expenditure/ ARR	**3,242.42**	**3,526.10**	**3,468.02**	**3,408.95**	**3,766.43**	**3,694.27**
Revenue from Sale of Power	3,058.06	3,508.93	3,508.93	3,240.29	3,721.56	3,721.56
Other Income	69.05	64.69	76.00	69.14	109.63	108.81
Total Revenue/ERC	**3,127.11**	**3,573.62**	**3,584.93**	**3,309.43**	**3,831.19**	**3,830.37**
Revenue Surplus / (Deficit)	**(115.31)**	**47.52**	**116.91**	**(99.52)**	**64.76**	**136.10**

Table 2

Comparison of ARR & ERC and MPR for 2024-25, 2025-26 & 2026-27 (Rs. lakh)

Particulars	FY 2024-25		FY 2025-26		FY 2026-27	
	ARR & ERC Approved	MPR Full year Provisional	ARR & ERC Approved	MPR	ARR & ERC Approved	MPR
Purchase of power	3,125.79	3,434.48	3,148.22	3,568.36	3,170.87	3,596.13
Employee Cost	182.75	254.83	190.89	267.58	199.39	294.34
A&G Expenses	15.14	20.80	15.82	21.73	16.52	22.70
R&M Expenses	45.83	51.15	47.88	56.88	50.01	59.72
Depreciation	17.28	14.56	19.45	15.14	22.45	79.61
Interest and Finance charges	52.72	71.10	55.84	72.26	58.68	122.74
Other Debits	1.31	32.36	1.38	34.02	1.45	34.71
Return on NFA	7.03	7.03	7.03	5.32	7.03	4.67
Total Expenditure/ ARR	**3,447.85**	**3,886.31**	**3,486.51**	**4,041.30**	**3,526.40**	**4,214.63**
Revenue from Sale of Power	3,272.65	3,726.46	3,305.32	3,811.42	3,338.25	3,841.87
Other Income	69.22	114.08	69.30	105.30	69.38	97.91
Total Revenue/ERC	**3,341.87**	**3,840.54**	**3,374.62**	**3,916.72**	**3,407.63**	**3,939.78**
Revenue Surplus / (Deficit)	**(105.98)**	**(45.77)**	**(111.89)**	**(124.58)**	**(118.77)**	**(274.85)**

4. After examining the petition, the Commission admitted the petition as **OP No. 41/2025**

Public Hearing on the Petition

5. The hearing on the petition was conducted on 10.09.2025 at the Court Hall, Office of the Commission. The licensee was represented by Sri. Sachin Prabhu, and Sri. R. Jayaraman and other officers of KDHPCL. Sri. Sachin Prabhu presented details on the petition and responded to the queries of the Commission. The main points made by the licensee are:

   a. The licensee has proposed revenue gaps for remaining years of the control period.
   b. The petitioner has considered an increase of 1% over the average sales for period from FY 2022-23 to FY 2024-25 for estimation of sales in FY 2025-26 and 1% increase thereon in FY 2026-27. The petitioner adopts tariffs as given in the latest tariff Order OP No.18/2023 dated 05.12.2024 for estimating revenue for the ensuing period.
   c. The licensee has projected higher other income for the remaining years of the control period, than which was approved in the ARR Order dated 24.02.2024. Interest on deposit with KSEB Limited is calculated for the ensuing period on the estimated deposit being two months power purchase cost and at the applicable bank rate as on 1st April 2025.

d. Miscellaneous receipts and non tariff income is estimated at 1% increase year on year over the average for past three years.
e. Interest on accumulated surplus for the ensuing period has been estimated as per the applicable norms in Tariff Regulations, 2021.
f. The licensee has claimed the power purchase cost for the remaining years of the control period based on BST and demand charges as given in current Tariff Order dated 05.12.2024.
g. The distribution loss targets taken as approved by the Commission in ARR Order in OP No.28/2022 dated 26.02.2024.
h. The licensee has claimed a higher O&M expense for the remaining years of the control period. The licensee states that, the methodology adopted by the Commission in setting the Normative O&M expense lacks scientific basis and peer benchmarking.
i. The licensee stated that, the Repairs and maintenance cost and employee cost claimed by the licensee is the lowest in terms of expense per consumer, per unit sold, and per sq.km, except for smaller licensees like CSEZA and Smart City, which have higher HT/commercial consumer density and much smaller distribution areas compared to its 180 sq.km network.
j. Depreciation is charged at the rates as per the Regulation. They have considered the additional depreciation charge from the capitalization of the substation from FY 2026-27.
k. The interest and finance charges and Return on Net Fixed Assets are been claimed by the licensee as per the provisions of the Tariff Regulation.
l. The petitioner has not claimed any tax expense.

6. KSEB Ltd, vide letter No. KSEBL/TRAC/AEE R2/KDHPCL-MPR/2025-26/635 dated 29.09.2025 submitted the following comments on the petition;

a. The Petitioner has submitted detailed expense data and expressed concerns about disallowances of costs exceeding approved ARR levels. While some additional expenses were approved earlier after prudence checks, the Commission must rigorously verify all excess claims to protect consumer interests and ensure only efficient, justifiable costs are allowed.
b. The Petitioner's O&M and R&M costs exceeded approved norms, mainly due to aged infrastructure and monsoon-related breakdowns, but no clear basis or preventive maintenance plan was provided. The Commission's disallowances follow prudence standards, and the Petitioner has not adequately demonstrated that all additional expenses were unavoidable. The regulatory framework encourages efficiency, not escalation without evidence.

c. Although the Petitioner cites wage revisions and recruitments for higher employee costs, adequate supporting evidence such as wage agreements, productivity data, or comparisons with similar utilities was not provided. The Commission permits reasonable, evidence-backed increases but requires justification for costs beyond normative levels.
d. The Petitioner assumes a constant consumer base and projects 1% sales growth without providing adequate supporting data. Sales projections must rely on historical trends, economic indicators, and realistic assumptions to avoid tariff shocks. The Petitioner should provide detailed justification and risk-based analysis in future filings.
e. While the Petitioner has accounted for non-tariff income and interest earnings, the treatment of such income must align with regulatory guidelines. The significant rise in interest on surplus funds should be factored into capital financing decisions, such as funding the upcoming substation, and projections for miscellaneous receipts require supporting details.
f. Power purchase is entirely from KSEBL as per tariff orders, and the Petitioner must work to reduce distribution loss levels. Given the network's vintage condition, efficiency improvements are achievable, but clarity is lacking on whether reduced loss targets have been factored into purchase projections.
g. The main capital work—construction of the 33/11 kV substation—may be funded from the Petitioner's surplus, consistent with previous orders. No new capital works or progress updates have been submitted, raising concerns about achieving future loss-reduction targets. Detailed CAPEX reporting is essential for going forward.
h. The Petitioner has projected a substantial rise in other debits, including electricity duty under Section 3(1), which cannot be passed on to consumers. A new provision for doubtful debts is included without supporting details, requiring further scrutiny.
i. Interest and finance costs are based on current bank rates, but must be optimized to minimize tariff impact.
j. If capital projects are funded from accumulated surplus, related financing costs, depreciation, and RoNFA should be excluded.
k. The Commission's prudence checks and disallowances are necessary to ensure fair tariff setting. Only expenses supported by evidence and aligned with regulations should be allowed. The MPR petition should be evaluated within the regulatory framework, while encouraging the Petitioner to enhance efficiency, control costs, and improve transparency.

7. The licensee vide letter dated 26.09.2025 made submission on clarifications sought by the Commission and KSEB Limited (Respondent) during the hearing. The licensee clarified that:

   a. The Commission during the hearing had sought clarification on the rationale for projecting revenue (units sold) at a 1% growth rate. The Petitioner submitted that a significant portion of consumption in the License area (almost 71% of the total units sold on average) is attributable to tea plantations and factories and commercial establishments in the region. The consumption at tea factories varies based on production levels during the year which is highly dependent on weather, whereas the commercial consumption is largely dependent on tourist footfalls. These activities fluctuate significantly year-on-year. It was also submitted that considering the limited land availability push for BESS solar systems in the Licensed area, highly exponential demand growth due to new commercial and domestic consumers is highly unlikely. Considering the very low contribution of domestic and commercial consumers at 27% of the units sold on average, the sensitivity to the overall units sold on a higher growth rate in this category would be insignificant. The actual increase observed in HT Industrial is only 0.56%. A much higher increase is seen in the commercial and domestic at 1.19% but at a lower base. Accordingly, considering the factors collectively, KDHPCL proposes to retain the initial assumptions on growth rate at 1% overall

   b. With regard to Operating and Maintenance (O&M) expenses, it was submitted that the O&M norms be verified in line with the recent recommendations of the CEA. As per the KDHPCL's computation done based CEA norms and actual expenses, the computed O&M expenses are higher than ARR approved numbers, but below the peers when benchmarked. It was requested to the Commission to compute O&M expenses as per the CEA mandate while passing the necessary orders.

   c. With regard to Power purchase cost and distribution loss, the licensee submitted that the petitioner presented the power purchase cost for the ensuing period based on the approved distribution loss targets on the current Bulk Supply Tariff (BST) and demand charges as stipulated in the prevailing tariff order. It was submitted that the distribution loss levels approved in the ARR, namely 8.85% for FY 2025-26 and 8.60% for FY 2026-27, was only adopted in the projections for arriving at the power purchase cost. KDHPCL has consistently undertaken measures to minimize distribution losses and has, in the past, largely achieved the approved targets. The licensee reaffirms its commitment to continue such initiatives to ensure that the distribution loss levels remain within the approved benchmarks.

d. The licensee with regard to Interest and finance charges stated that interest has been assessed on the entire security deposit, including the portion attributable to own consumption. The licensee had revised the claim on interest on security deposit for the year 2024-25 and the remaining years of the Control Period.

8. The revised claim based on the letter dated 26.09.2025 is as shown below.

Table 3
Revised Comparison of ARR & ERC and MPR for 2024-25, 2025-26 & 2026-27
(Rs. lakh)

Particulars	FY 2024-25		FY 2025-26		FY 2026-27	
	ARR & ERC Approved	MPR Full year Provisional	ARR & ERC Approved	MPR	ARR & ERC Approved	MPR
Purchase of power	3,125.79	3,434.48	3,148.22	3,568.36	3,170.87	3,596.13
Employee Cost	182.75	254.83	190.89	267.58	199.39	294.34
A&G Expenses	15.14	20.80	15.82	21.73	16.52	22.70
R&M Expenses	45.83	51.15	47.88	56.88	50.01	59.72
Depreciation	17.28	14.56	19.45	15.14	22.45	79.61
Interest and Finance charges	52.72	86.35	55.84	87.23	58.68	137.86
Other Debits	1.31	32.36	1.38	34.02	1.45	34.71
Return on NFA	7.03	7.03	7.03	5.32	7.03	4.67
Total Expenditure/ ARR	**3,447.85**	**3,901.56**	**3,486.51**	**4,056.26**	**3,526.40**	**4,229.74**
Revenue from Sale of Power	3,272.65	3,726.46	3,305.32	3,811.42	3,338.25	3,841.87
Other Income	69.22	114.08	69.30	105.30	69.38	97.91
Total Revenue/ERC	**3,341.87**	**3,840.54**	**3,374.62**	**3,916.72**	**3,407.63**	**3,939.78**
Revenue Surplus / (Deficit)	**(105.98)**	**(61.02)**	**(111.89)**	**(139.55)**	**(118.77)**	**(289.97)**

Analysis and decision of the Commission

9. The Commission considered petition for approval of Mid Term Performance Review, ARR & ERC for the MYT Control period 2022-23 to 2026-27, the additional clarifications submitted by the licensee along with the comments of KSEB Ltd. The analysis and decisions of the Commission as per the provisions of the Tariff Regulations, 2021, on the petition for approval of Mid Term Performance Review are detailed below.

No. of Consumers & Sale of Power

10. As per Regulation 10 (8) of Tariff Regulations 2021, the distribution licensee shall develop the forecast of expected revenue from existing charges based on the estimates of contract demand and quantum of electricity to be supplied to the consumers and to be wheeled on behalf of the users of the

distribution system for each financial year of the control period. Further, Regulation 72 provides as follows:

> *72. Sales Forecast. – (1) The distribution business/ licensee shall file, along with the petition for approval of Aggregate Revenue Requirement and determination of tariff, a forecast of the expected demand and sale of electricity to different categories of consumers and to each consumption slab within each tariff category, in its area of supply for the Control Period.*
>
> *(2) Sale of electricity, if any, to electricity traders or other distribution licensees shall be separately indicated.*
>
> (3) *The Commission shall examine the forecasts for its reasonableness based on the proposed growth in number of consumers and proposed consumption per consumer, the demand for electricity in the preceding financial years, anticipated growth in the succeeding financial years and any other factor, which the Commission may consider relevant and thereafter approve the distribution licensee's forecast of sale of electricity to the consumers, with such modifications as deemed appropriate.*

11. The licensee in the current petition has considered a 1% annual increase in average sales for the period from FY 2022-23 to FY 2024-25 for estimation of sales for FY 2025-26 and 1% increase thereon in FY 2026-27. A comparison of revised estimates of sales for the remaining years of the control period and actuals for the initial years of the control period is shown below:

Table 4
Number of consumers and sales

Con. Category	2022-23				2023-24			
	ARR projection and approved		Actuals		ARR projection and approved		Actuals	
	Nos.	Sales (lakh units)	Nos.	Sales (lakh units)	Nos.	Sales (lakh units)	Nos.	Sales (lakh units)
HT IA Industrial	22	287.04	22	316.60	22	289.05	22	334.50
HT I B Industrial				0.00		0.00	1	0.30
HT II (Non Ind/Comml)	3	4.12	3	4.60	3	4.08	3	4.40
HT III Agriculture	2	3.34	2	3.40	2	2.88	2	3.50
HT IV Commercial	9	13.09	9	20.50	9	20.33	9	20.40
LT I Domestic	13489	74.99	14008	77.80	13489	73.77	14536	79.30
LT IV Industries	90	4.04	93	5.90	90	5.67	97	5.20
LT V Agriculture	5	0.13	7	0.20	5	0.27	6	0.10
LT VI Non-Domestic	917	14.40	948	17.80	917	16.16	981	17.80
LT VII Commercial	1170	18.13	1224	34.00	1170	28.98	1325	38.20
LT VIII Public Lighting	231	3.43	265	3.90	231	2.98	266	4.10
LT TOD Tariff	2	0.10	2	0.20	2	0.10	4	0.10
TOTAL	**15940**	**422.81**	**16583**	**484.90**	**15940**	**444.27**	**17252**	**507.90**

Con. Category	2024-25				2025-26			
	ARR projection and approved		MPR		ARR projection and approved		MPR	
	Nos.	Sales (lakh units)	Nos.	Sales (lakh units)	Nos.	Sales (lakh units)	Nos.	Sales (lakh units)
HT IA Industrial	22	291.94	22	313.90	22	294.86	22	316.91
HT I B Industrial			1	0.70			1	0.74
HT II (Non Ind/Comml	3	4.12	2	3.80	3	4.16	2	3.89
HT III Agriculture	2	2.91	2	3.70	2	2.94	2	3.78
HT IV Commercial	9	20.53	9	21.50	9	20.74	9	21.72
LT I Domestic	13489	74.51	14017	81.00	13489	75.25	14017	81.81
LT III Temp. Connection							1	-
LT IV Industries	90	5.72	93	5.70	90	5.78	93	5.78
LT V Agriculture	5	0.27	6	0.20	5	0.28	6	0.21
LT VI Non-Domestic	917	16.34	951	18.40	917	16.49	951	18.56
LT VII Commercial	1170	29.26	1245	40.50	1170	29.56	1244	40.90
LT VIII Public Lighting	231	3.01	267	4.30	231	3.04	267	4.38
LT TOD Tariff	2	0.10	5	0.20	2	0.10	5	0.21
LT IX (Public Lighting)			1	0.10			1	-
LT X Charging Stations			1	0.10			1	-
TOTAL	**15940**	**448.71**	**16622**	**494.10**	**15940**	**453.20**	**16622**	**498.89**

Con. Category	2026-27			
	ARR projection and approved		MPR	
	Nos.	Sales (lakh units)	Nos.	Sales (lakh units)
HT IA Industrial	22	297.81	22	320.08
HT I B Industrial			1	0.74
HT II (Non Ind/Comml)	3	4.20	2	3.93
HT III Agriculture	2	2.97	2	3.82
HT IV Commercial	9	20.95	9	21.93
LT I Domestic	13489	76.01	14017	82.63
LT III Temp. Connection			1	-
LT IV Industries	90	5.84	93	5.83
LT V Agriculture	5	0.28	6	0.21
LT VI Non-Domestic	917	16.66	951	18.75
LT VII Commercial	1170	29.85	1244	41.30
LT VIII Public Lighting	231	3.07	267	4.43
LT TOD Tariff	2	0.10	5	0.21
LT IX (Public Lighting)			1	-
LT X Charging Stations			1	-
TOTAL	**15940**	**457.74**	**16,622**	**503.86**

12. The licensee in the current petition has stated that, the ARR Order was issued immediately after COVID period, wherein significant decline was observed in

sale of power on account of economic slowdown and had projected a moderate recovery and increase in sale of power during the control period. However, the actual recovery and increase thereon was much faster and higher than anticipated.

13. During the hearing, the Commission had sought clarifications on the rationale for projecting the revenue at a 1% growth rate and has advised the use of historical trend analysis and technological tool for estimating the revenue. Further, the Commission had also sought justification on keeping the consumer mix constant. The licensee vide letter dated 25.09.2025 submitted their replies to the clarifications sought by the Commission. The licensee in the letter has stated that, a 1% annual growth in units sold has been proposed based on the consumption pattern in the Licensed area, where nearly 71% of sales come from tea plantations, factories, and commercial establishments, sectors that fluctuate sharply with weather and tourism, making higher-accuracy forecasting unreliable. Limited land availability and the shift toward BESS-solar systems further restrict the likelihood of significant demand growth. Since domestic and commercial consumers contribute only about 27% of total consumption, even higher growth in these categories has minimal overall impact. Historical data also shows low actual growth of 0.56% in HT industrial and about 1.19% in commercial/domestic supporting the modest 1% projection. For these reasons, the licensee has retained both the 1% growth rate and the existing consumer mix in the future projections.

14. ***The Commission has analysed the details submitted by the licensee, considering that the licensee has projected increasing sales for the remaining years of the control period, the Commission hereby approves the sales units for the year 2024-25, 2025-26 and 2026-27 as claimed by the licensee.***

Energy Requirement and Distribution Loss

15. As per Regulation 73, the licensee is to provide voltage level distribution loss and distribution loss reduction trajectory for the Control Period with supporting studies along with the petition. The Commission has to approve the target level of losses based on the opening level of losses, the figures filed by licensee and other relevant factors. The licensee in the current petition has claimed the distribution loss as approved in the ARR Order dated 26.02.2024 and calculated the energy requirement for the year 2025-26 and 2026-27 based on the approved distribution loss in the ARR order. The energy requirement and distribution loss as proposed by the licensee with compare to the previous years is as shown below:

Table 5
Comparison of energy requirement and distribution loss

Particulars	2022-23			2023-24		
	ARR Approved	Truing Up Petition	Trued Up	ARR Approved	Truing Up Petition	Trued Up
Energy purchased (In lakh Units)	477.49	541.20	541.63	500.08	566.94	565.92
KSEB Energy Feedback (In lakh Units)	92.09	49.30	49.30	96.77	54.59	54.59
Gross energy in the system (In lakh Units)	**569.58**	**590.50**	**590.93**	**596.85**	**621.53**	**620.51**
Energy Sales (In lakh Units)	422.81	484.90	484.90	444.27	507.90	507.90
KSEB Ltd Energy Feedback (lakh units) (2)	92.09	49.30	49.30	96.77	54.59	54.59
Total Energy Output (lakh Units) (1+2)	**514.90**	**534.20**	**534.20**	**541.04**	**562.49**	**562.49**
Distribution loss (In lakh Units)	54.68	56.30	56.73	55.81	59.04	58.02
Distribution loss %	**9.60%**	**9.53%**	**9.60%**	**9.35%**	**9.50%**	**9.35%**

Particulars	2024-25		2025-26		2026-27	
	ARR Approved	MPR	ARR Approved	MPR	ARR Approved	MPR
Energy purchased (In lakh Units)	503.42	548.80	506.79	553.00	510.19	556.80
KSEB Energy Feedback (In lakh Units)	97.74	57.50	98.71	58.00	99.70	58.60
Gross energy in the system (In lakh Units)	**601.16**	**606.30**	**605.50**	**611.00**	**609.89**	**615.40**
Energy Sales (In lakh Units)	448.71	493.80	453.20	498.90	457.74	503.90
KSEB Ltd Energy Feedback (lakh units) (2)	97.74	57.50	98.71	58.00	99.70	58.60
Total Energy Output (lakh Units) (1+2)	**546.45**	**551.30**	**551.91**	**556.90**	**557.44**	**562.50**
Distribution loss (In lakh Units)	54.71	55.00	53.59	54.10	52.45	52.90
Distribution loss %	**9.10%**	**9.07%**	**8.85%**	**8.85%**	**8.60%**	**8.60%**

16. During FY 2024-25, the licensee achieved a distribution loss of 9.07%, which is lower than the level approved in the ARR Order. During the hearing, KSEB Ltd observed that it was unclear whether the projected reduction in distribution loss for the subsequent years had been factored into the power purchase projections. In its submission dated 25.09.2025, the licensee clarified that the distribution loss levels approved in the ARR for FY 2025-26 and FY 2026-27 were duly adopted in computing the projected power purchase requirements. The licensee further submitted that it has consistently undertaken loss-reduction measures and has, in previous years, largely met the approved targets. ***The Commission has analysed the details submitted by the licensee and hereby approves the distribution loss and energy requirement as claimed by the licensee for the remaining years of the control period. Since, reduction in distribution loss is an important parameter which has a direct impact on power purchase cost and available energy for distribution, the licensee shall take added efforts to reduce the losses further.***

Power purchase cost

17. The licensee in the current petition has projected the power purchase cost for the remaining years of the control period based on the distribution loss approved in the ARR Order dated 26.02.2024 and the anticipated increase in the sales. The revised power purchase cost for the remaining years of the control period as compared to previous trued figures is as shown below:

Table 6
Power purchase cost (Rs. In lakh)

Particulars	2022-23 (Trued up)	2023-24 (Trued Up)	2024-25 (MPR)	2025-26 (MPR)	2026-27 (MPR)
Energy Input (lakh units)	541.20	566.94	548.80	548.84	548.85
Demand Charge (Rs. lakh)	3,163.37	3,370.52	509.84	520.24	525.44
Excess Demand Charge (Rs. lakh)			-	-	-
Energy Charge (Rs. lakh)			2,924.64	3,073.50	3,073.56
Total Power Purchase Cost	**3,163.37**	**3,370.52**	**3,434.48**	**3,593.74**	**3,599.00**
Average Power Purchase Cost	**5.85**	**5.95**	**6.26**	**6.55**	**6.56**

18. The licensee has stated that, the Power purchase cost has been arrived at for the ensuing period based on the BST and applicable demand charges as given in the latest tariff order of the Commission OP No.18/2023 dated 05.12.2024 and using distribution loss targets as approved by the Commission in ARR Order of the Petitioner in OP No.28/2022 dated 26.02.2024. The Commission notes that, an error has occurred in calculation of power purchase cost by the licensee. While estimating the power purchase requirement for 2025-26 and 2026-27, the licensee has not considered the energy input units computed in Form D.6.2 based on the proposed distribution loss levels. Considering the power purchase from KSEB Ltd at the distribution loss reduction targets approved for the Control Period and the relevant tariff applicable for the years of the Control Period, the power purchase cost approved is shown below.

Table 7
Power purchase cost approved for remaining years of the control period

Particulars	2024-25	2025-26	2026-27
Energy Input (lakh units)	548.80	553.00	556.80
Demand Charge (Rs. lakh)	509.84	520.24	525.44
Energy Charge (Rs. lakh)	2981.81	3096.80	3118.08
Total Power Purchase Cost	**3491.65**	**3617.04**	**3643.52**

Operation & Maintenance expenses

19. Operation and Maintenance expenses consist of three components. Employee Cost, Repair and Maintenance Expenses and Administration and General Expenses. The Commission as per Regulation 80(2) of the KSERC (Terms and conditions for determination of tariff) Regulations, 2021, has approved the

operation & maintenance cost for the Control Period. Commission has applied escalation of 4.454% for the years of the Control Period considering 2020-21 as the base year. The Commission in the Order on ARR had approved the O&M expenses within normative limits. Any additional expenditure arising from uncontrollable factors or one-time events are being considered during the Truing Up process, subject to prudence check by the Commission. In the current petition the licensee has projected higher O&M expenses for the remaining years of the control period, than what was approved in the ARR Order. Details of the expenses approved in the ARR order and revised estimates are shown below:

Table 8

Operation and maintenance expenses (Rs. In lakh)

Particulars	2022-23			2023-24		
	ARR Approved	Actual	Trued Up	ARR Approved	Actual	Trued Up
Employee Expenses	167.50	179.80	171.67	174.96	216.32	177.52
A&G Expenses	13.88	30.50	19.37	14.50	18.90	17.12
R&M Expenses	42.01	57.54	43.06	43.88	49.74	44.53
Total O&M Expense	**223.39**	**267.84**	**234.10**	**233.34**	**284.96**	**239.17**

Particulars	2024-25		2025-26		2026-27	
	ARR Approved	Actuals (provisional)	ARR Approved	Revised estimate	ARR Approved	Revised estimate
Employee Expenses	182.75	254.83	190.89	267.58	199.39	294.34
A&G Expenses	15.14	20.79	15.82	21.73	16.52	22.70
R&M Expenses	45.83	51.15	47.88	56.88	50.01	59.72
Total O&M Expense	**243.72**	**326.77**	**254.59**	**346.19**	**265.92**	**376.76**

20. The licensee in the petition has submitted that the current methodology for determining O&M expenses, which is based on escalated trued-up values of 2019-20 does not reflect actual costs or activity levels. The licensee stated that, the trued-up expense used as the base for setting normative levels already includes several costs disallowed for exceeding norms, resulting in a recurring cycle where actual expenses never align with or are recovered through the normative levels. The analysis of each head under operation and maintenance expense projected by the licensee is detailed below.

Employee Expenses

21. The licensee has claimed higher employee costs in the MPR petition for control period as compared to the employee cost approved in the ARR Order. The licensee has stated that the employee cost claimed is the lowest among comparable licensees in terms of cost per consumer, per unit sold, per sq.km, and employees per sq.km except for CSEZA, where the lower cost per unit is

due to the unique case of a high concentration of HT consumers in a compact, captive area, unlike the Petitioner's wider and more diverse consumer base.

22. The major heads under employee expense are basic salary, DA, overtime payments etc. The split up of the Employee Cost as per the Truing up Orders for 2022-23 & 2023-24 and the petition filed by the licensee is tabulated below;

Table 9
Comparison of Employee Cost for the Control Period (Rs. lakh)

Particulars	2022-23			2023-24		
	ARR Approved	Truing Up Petition	Trued Up	ARR Approved	Truing Up Petition	Trued Up
Basic Salary		72.85			97.99	
Dearness Allowance (DA)		13.48			15.41	
Leave Travel Allowance		0.41			0.50	
Earned Leave Encashment		1.46			1.78	
Other Allowances		7.39			8.64	
Overtime Payment		37.86			48.18	
Bonus/Ex-Gratia Payments	167.50	3.42	171.67	174.96	2.97	177.52
Staff welfare expenses		0.71			0.57	
Provident Fund Contribution		11.13			13.00	
Salary of Manager & Executive - Electricals		15.87			16.48	
Share of Directors. Mgmt. Staff Salaries		15.22			10.79	
Gross Employee Expenses	**167.50**	**179.80**	**171.67**	**174.96**	**216.31**	**177.52**

Particulars	2024-25		2025-26		2026-27	
	ARR Approved	MPR	ARR Approved	MPR	ARR Approved	MPR
Basic Salary		107.44		112.81		124.09
Dearness Allowance (DA)		21.12		22.18		24.40
Leave Travel Allowance		0.5		0.53		0.58
Earned Leave Encashment		1.62		1.7		1.87
Other Allowances		10.86		11.4		12.54
Overtime Payment		62.13		65.24		71.76
Bonus/Ex-Gratia Payments	182.75	3.53	190.89	3.71	199.39	4.08
Staff welfare expenses		0.66		0.69		0.76
Provident Fund Contribution		16.58		17.41		19.15
Salary of Manager & Executive - Electricals		18.25		19.16		21.08
Share of Directors. Mgmt. Staff Salaries		12.14		12.75		14.03
Gross Employee Expenses	**182.75**	**254.83**	**190.89**	**267.58**	**199.39**	**294.34**

23. The licensee has submitted that the current methodology does not account for actual year-on-year inflation and disproportionately affects employee cost

claims. Since wages are determined through triennial settlements, increases are non-linear rising sharply (around 10%) in settlement years due to arrears, and remaining within 3 to 5% in other years. The licensee has also stated that the escalation rate approved by the Commission covers only normal increments and not wage-revision impacts. Although the Commission has previously allowed additional employee cost claims arising from the 2019 wage revision Rs.9.46 lakh (2020-21) and Rs.23.65 lakh (2021-22), a similar claim of Rs.27.21 lakh following the 2023 wage revision was not approved in the Truing Up for 2023-24. The licensee contends that such inconsistency does not reflect the actual cost structure and warrants reconsideration.

24. ***The Commission analysed the details submitted by the licensee and is of the view that, O&M expense being a controllable expense may be limited to the approved norms. The licensee should take all efforts to limit the employee expenses within the normative level and any additional expenses relating to pay revision, uncontrollable factors or one-time expenses can be considered at the time of Truing Up of accounts only after prudence check by the Commission. Therefore, the Commission hereby approves the employee expenses for the remaining years of the control period as approved in the ARR Order.***

Administrative & General Expenses

25. The licensee in the current petition has revised the estimated A&G expenses higher than the norms fixed by the Commission. A comparison of ARR approved, actuals and projected A&G expenses for the control period is shown below:

Table 10
Split Up of the Administrative and General Expenses (Rs.lakh)

Particulars	2022-23			2023-24		
	ARR Approved	Truing Up Petition	Trued Up	ARR Approved	Truing Up Petition	Trued Up
Rent Rates & Taxes		1.20			0.32	
Insurance		1.05			0.44	
Legal charges		10.38			2.01	
Audit Fees		6.64			3.90	
Travelling expenses		0.11			0.07	
Conveyance and vehicle hire charges	13.88	1.69	19.37	14.50	1.12	17.12
Electricity charges		0.35			0.32	
Printing & Stationery		1.30			0.92	
Miscellaneous Expenses		4.93			5.95	
License Fee and other related fee		0.90			1.06	
Security arrangements		1.95			2.79	
Gross A&G Expenses	**13.88**	**30.50**	**19.37**	**14.50**	**18.90**	**17.12**

Particulars	2024-25		2025-26		2026-27	
	ARR Approved	MPR	ARR Approved	MPR	ARR Approved	MPR
Rent Rates & Taxes	15.14	0.09	15.82	0.09	16.52	0.09
Legal charges		4.44		4.64		4.85
Audit Fees		2.20		2.30		2.40
Travelling expenses		0.15		0.16		0.17
Conveyance and vehicle hire charges		2.20		2.30		2.40
Electricity charges		0.35		0.37		0.39
Printing & Stationery		1.14		1.19		1.24
Miscellaneous Expenses		6.64		6.94		7.25
License Fee and other related fee		1.12		1.17		1.22
Security arrangements		2.46		2.57		2.69
Gross A&G Expenses	**15.14**	**20.79**	**15.82**	**21.73**	**16.52**	**22.70**

26. The licensee has projected a higher A&G expenses for the remaining years of the control period. ***After analysing the details submitted by the licensee, the Commission hereby approves the Administrative and General expenses for the remaining years of the control period as approved in the ARR Order. The Commission while truing up the accounts for the remaining years of the Control period will consider one time expenses and expenses incurred due to change in statutory requirements and will be approved on actual basis, only after prudence check.***

Repair and maintenance expense

27. The licensee in the current petition has projected a higher Repair and Maintenance expenses than the norms approved in the ARR Order. Comparison of ARR approved and revised estimates of R&M expenses for the 2022-23 to 2026-27 is shown below:

Table 11
Repair and maintenance expenses (Rs. In lakh)

Particulars	2022-23			2023-24		
	ARR Approved	Truing Up Petition	Trued Up	ARR Approved	Truing Up Petition	Trued Up
Plant & Machinery	42.01	3.49	43.06	43.88	0.73	44.53
Buildings		0.24			0.29	
Lines & Cable Networks		36.85			36.00	
Vehicles		3.89			4.16	
LT Lines, Upkeeps, etc.		13.07			8.56	
TOTAL	**42.01**	**57.54**	**43.06**	**43.88**	**49.74**	**44.53**

Particulars	2024-25		2025-26		2026-27	
	ARR Approved	MPR	ARR Approved	MPR	ARR Approved	MPR
Plant & Machinery		0.93		0.97		1.02
Buildings		0.35		0.37		0.39
Lines & Cable Networks	45.83	38.62	47.88	43.25	50.01	45.41
Vehicles		4.08		4.26		4.47
LT Lines, Upkeeps, etc.		7.17		8.03		8.43
TOTAL	**45.83**	**51.15**	**47.88**	**56.88**	**50.01**	**59.72**

28. As per the split up details submitted by the licensee, the major R&M expense is towards Lines & Cable Networks related works. In the petition the licensee has stated that, as the infrastructure of the licensee is quite vintage and where lines run through uninhabited jungle and plantation areas, where works are carried out on a need-basis depending on fault occurrence, the repair and maintenance expenses varies each year depending on the occurrence and intensity of fault in the network. The licensee further stated that, during the transition to the new control period, the Commission revised norms using 2019-20 as the base year, resulting in a much lower normative amount for 2022-23 compared to the higher, duly approved expenditures of 2020-21 and 2021-22. Despite continued repair efforts driven by monsoon-related damages, the Commission allowed escalation only in earlier years and later disallowed actual costs solely because the Regulation prescribed a lower amount, without conducting prudence checks or considering the detailed work undertaken and already submitted for true-up.

29. ***The Commission is of the considered opinion, to approve R&M expenses for the remaining years of the control period at the norms as provided in Regulation 80(2) of the KSERC (Terms and conditions for determination of tariff) Regulations, 2021. The actual expenses incurred with regard to one time R&M expense shall be considered separately after prudence check while truing up the accounts of the relevant year. The licensee shall submit the details, including bills for considering the expense while truing up the accounts.***

O&M Expenses Approved

30. The Commission has analysed the details submitted by the licensee and the methodology adopted by the licensee in calculating the Operation and Maintenance expenses for the remaining years of the control period. While approving the normative O&M expense, the Commission had applied an escalation rate of 4.454% to arrive at the expense for each year of the control period and also decided to consider the actual escalation rate existing for each year of the control period at the time of truing up. In the truing up for the years

2022-23 and 2023-24, the Commission had allowed the Operation and Maintenance expenses after applying the actual inflation rate for each year. ***Therefore, the Commission is of the view that the licensee should take all efforts to limit the O&M expenses within the normative level and any additional expenses relating to uncontrollable factors or one-time expenses can be considered at the time of Truing Up of accounts only after prudence check by the Commission. Accordingly, the Commission hereby approves the normative expenses as approved in the ARR order as Operation and Maintenance expenses for the remaining years of the control period. The total O&M expenses approved for the remaining years of the control period is as shown below:***

Table 12
Approved Operation & Maintenance Expenses for the Control Period

Particulars	2024-25		2025-26		2026-27	
	Actuals (Full year provisional)	Approved	MPR	Approved	MPR	Approved
Employee Expenses	254.83	182.75	267.58	190.89	294.34	199.39
A&G Expenses	20.79	15.14	21.73	15.82	22.70	16.52
R&M Expenses	51.15	45.83	56.88	47.88	59.72	50.01
Total	**326.77**	**243.72**	**346.19**	**254.59**	**376.76**	**265.92**

Capital Investment Plan for the Control Period

31. The licensee in the ARR Petition had projected capital investment plan of Rs.302.87 lakh for the entire control period. The licensee had submitted detailed project report with regard to the proposed investment plan. The Commission analysed the details of the proposed capital investment and provisionally approved the proposal made by the licensee and directed the licensee to submit the supporting documents before the Commission while claiming the assets additions in Truing up of accounts for the Control Period. Accordingly, the licensee while truing up the accounts for the years 2022-23 and 2023-24 had submitted details regarding the actual expenditure incurred by the licensee for capital additions and the Commission has approved the actuals as claimed by the licensee. The licensee further states that no changes are proposed to the capital investment plan already submitted and duly approved by the Commission.

Depreciation

32. The licensee in the current petition has revised the depreciation for the remaining years of the control period. The licensee in the petition has stated that they have calculated depreciation as per Regulation 27 of the Tariff Regulation, 2021. The depreciation for 2022-23 and 2023-24 (Actuals) and 2024-25,2025-26,2026-27 (revised estimates) are shown below:

Table 13
Depreciation (Rs. In lakh)

Particulars	2022-23		2023-24		2024-25	
	ARR Approved	Actual	ARR Approved	Actual	ARR Approved	Revised estimate
Depreciation	13.07	12.18	15.07	13.74	17.28	14.56

Particulars	2025-26		2026-27	
	ARR Approved	Revised estimate	ARR Approved	Revised estimate
Depreciation	19.45	15.14	22.45	79.61

33. The licensee has considered a 33/11 kV Sub-station to be put into use from 2026-27 onwards and accordingly considered the depreciation for that year. The detailed calculation of depreciation as claimed by the licensee is given below:

Table 14
Depreciation claimed for the year 2024-25

Asset Group	Rate of depreciation (%)	GFA	Depreciation
Asset over 13 years			
Transformers	0.97%	205.92	2.00
Distribution lines	0.97%	40.16	0.39
Meters	0.97%	25.64	0.25
IT Equipments	0.97%	0.89	0.01
Others	0.35%	13.03	0.05
Sub total		**285.64**	**2.69**
Asset below 13 years			
Transformers	5.28%	89.58	4.73
Distribution lines	5.28%		
Meters	9.00%	67.90	6.11
IT Equipments	15.00%	4.65	0.70
Others	6.33%	5.29	0.33
Sub total		**67.42**	**11.87**
Total		453.06	14.56
Asset Addition			
Less consumer contribution			
Grand Total			**14.56**

Table 15
Depreciation claimed for the year 2025-26

Asset Group	Rate of depreciation (%)	GFA	Depreciation
Asset over 13 years			
Transformers	0.97%	215.11	2.09
Distribution lines	0.97%	40.16	0.39
Meters	0.97%	25.64	0.25
IT Equipments	0.97%	0.89	0.01
Others	0.35%	13.03	0.05
Sub total		**294.83**	**2.78**
Asset below 13 years			

Transformers	5.28%	95.39	5.04
Distribution lines	5.28%		
Meters	9.00%	67.90	6.11
IT Equipments	15.00%	5.70	0.85
Others	6.33%	5.75	0.36
Sub total		**174.74**	**12.36**
Total		469.57	15.14
Asset Addition			
Less consumer contribution			
Grand Total			**15.14**

Table 16
Depreciation claimed for the year 2026-27

Asset Group	Rate of depreciation (%)	GFA	Depreciation
Asset over 13 years			
Transformers	0.97%	216.14	2.10
Distribution lines	0.97%	40.16	0.39
Meters	0.97%	25.64	0.25
IT Equipments	0.97%	0.89	0.01
Others	0.35%	13.03	0.05
Sub total		**295.86**	**2.79**
Asset below 13 years			
\Transformers	5.28%	1,316.00	69.48
Distribution lines	5.28%		
Meters	9.00%	67.90	6.11
IT Equipments	15.00%	5.70	0.85
Others	6.33%	5.75	0.36
Sub total		**1,395.35**	**76.81**
Total		1691.21	79.61
Asset Addition			
Less consumer contribution			
Grand Total			**79.61**

34. ***After examining the submissions made by the licensee, the Commission is of the view that depreciation should be calculated based on the actual asset additions for the respective years. Accordingly, the Commission provisionally approves an amount of Rs.13.74 lakh, being the depreciation approved for 2023-24 vide Order dated 26.03.2025, as the depreciation to be applied for the remaining years of the control period.***

Interest and Finance Charges

35. The licensee in the petition has claimed interest and finance charges which includes interest on security deposit, Interest on normative loan, interest on working capital and bank charges. The licensee has revised the interest and finance charges by adopting the present bank rate and the applicable base rates. A comparison of actuals for the year 2022-23, 2023-24 and revised calculations for the year 2024-25 to 2026-27 is shown below:

Table 17
Interest & Finance charge- Rs in Lakhs

Particulars	2022-23			2023-24		
	ARR Approved	Truing Up Petition	Trued Up	ARR Approved	Truing Up Petition	Trued Up
Interest on Normative Loan	6.92	5.31	5.07	10.23	6.70	6.23
Interest on Working Capital	23.65	34.55	32.96	25.04	41.91	41.31
Interest on Security deposits	8.34	9.12	8.34	10.83	17.38	15.07
Bank Chargs on LC to secure cost of monthly power purchase from KSEB Ltd	2.47	3.75	3.75	2.61	1.71	1.71
Bank Charges on Rs.7.18 Cr Bank Guarantee to KSEB	-	6.89		-	3.76	0
Interest and Finance charges	**41.38**	**59.62**	**50.12**	**48.71**	**71.46**	**64.32**

Particulars	2024-25		2025-26		2026-27	
	ARR Approved	MPR	ARR Approved	MPR	ARR Approved	MPR
Interest on Normative Loan	13.26	5.47	15.93	5.05	18.31	54.41
Interest on Working Capital	25.35	39.17	25.66	39.97	25.98	40.55
Interest on Security deposits	11.48	34.18	11.59	34.30	11.71	34.60
Bank Charges on LC to secure cost of monthly power purchase from KSEB Ltd	2.63	3.30	2.66	3.47	2.68	3.64
Bank Charges on Rs.7.18 Cr Bank Guarantee to KSEB	-	4.23	-	4.44		4.66
Interest and Finance charges	**52.72**	**86.35**	**55.84**	**87.23**	**58.68**	**137.86**

36. Each of the items claimed under interest and finance charge is examined below.

a) Interest on normative loan

37. The licensee has in this petition claimed interest on normative loan as shown below.

Table 18
Interest on Normative Loan projected for the Control Period (Rs. lakh)

Particulars	2024-25	2025-26	2026-27
Gross Normative loan - Opening	61.21	58.45	58.31
Cumulative repayment of Normative Loan upto previous year	0.00	0.00	0.00
Net Normative loan - Opening	61.21	58.45	58.31
Increase/Decrease due to ACE/de-capitalization during the Year	11.80	15.00	1,221.00
Repayments of Normative Loan during the year	(14.56)	(15.14)	(79.61)

Net Normative loan - Closing	58.45	58.31	1,199.70
Average Normative Loan	59.83	58.38	629.01
Average Base Rate of SBI during the year	9.15%	8.65%	8.65%
Interest on Normative loan	5.47	5.05	54.41

38. The licensee has considered the Average Base Rate of SBI during the year for the computation of interest on normative loan. As per Regulation 29 of Tariff Regulations 2021, the rate of interest shall be the weighted average rate calculated on the basis of the actual loan portfolio at the beginning of each financial year. Further, provided that if the regulated business of the licensee does not have actual loan, but normative loan is outstanding, then interest shall be allowed at the base rate. The base rate as per Tariff Regulation, 2021 is External Benchmark based Lending Rate (EBLR) as on 01.04.2024. Considering this, the calculation of approved interest on normative loan is as shown below:

Table 19
Interest on Normative Loan approved for the Control Period (Rs. lakh)

Particulars	2024-25	2025-26	2026-27
Net Normative loan - Opening	61.21	47.47	33.73
Increase/Decrease due to assets additions/de-capitalization during the Year	0.00	0.00	0.00
Less: Repayments of Normative Loan during the year	13.74	13.74	13.74
Net Normative loan - Closing	47.47	33.73	19.99
Average Normative Loan	54.34	40.60	26.86
WA Rate of Interest of actual Loans*	9.15%	9.15%	9.15%
Interest on Normative loan	**4.97**	**3.71**	**2.46**

***EBLR of 9.15 % as on 01-04-2024*

39. ***Accordingly, the Commission provisionally approves the interest on the normative loan as presented in the table above. During the truing-up process for the respective years, the interest on the normative loan will be finalised after duly considering the actual asset additions and depreciation applicable to the relevant years.***

b) Interest on Working Capital

40. The normative level of working capital and the interest thereon is computed as stipulated in the Regulation 32 (5) of the Tariff Regulation, 2021 which is quoted below;

32. Interest on Working Capital. –

(1) The generation business/ company or transmission business/ licensee or distribution business/ licensee or the State Load Despatch Centre shall be allowed interest on the normative level of working capital for the financial year, computed as under,-

……..

(v) In the case of distribution business/ licensee the working capital shall comprise of,-

a) operation and maintenance expenses for one month; plus

b) cost of maintenance spares equivalent to one-twelfth of the average of the book value of stores, materials andsupplies at the beginning and end of the financial year; plus

c) receivables equivalent to the expected revenue from sale of electricity for two months at the prevailing tariff:

Provided that the amount, if any, held as security deposits except the security deposits held in the form of Bank Guarantee from the users of the distribution system and consumers shall be reduced while computing the working capital requirement:

Provided further that, in the case of distribution business/ licensees, who are supplying electricity to their consumers on prepaid metering system, interest on working capital shall not be allowed.

41. The licensee has in the current petition has claimed the actual interest on working capital for the year 2024-25 and the revised estimated for the years 2025-26 and 2026-27. The interest on working capital claimed by the licensee for the years is tabulated below;

Table 20

Working capital projected for the control period (Rs. lakh)

Particulars	**2024-25**	**2025-26**	**2026-27**
O & M Expenses- One month	27.23	28.85	31.40
Maintenance spares	-	-	-
Receivables-2 months	621.08	635.24	640.31
Less: security Deposit from consumers	297.01	297.36	299.68
Total working Capital	351.30	366.72	372.03
Interest rate (%)	11.15%	10.90%	10.90%
Interest on working capital	**39.17**	**39.97**	**40.55**

42. The licensee has worked out the interest on working capital requirement as per the provisions of the Tariff Regulations 2021. Considering the approved O&M expenses and revenue from sale of power, the interest on working capital approved for the control period is worked as under.

Table 21

Interest on Working capital approved for the control period (Rs. lakh)

Particulars	**2024-25**	**2025-26**	**2026-27**
O & M Expenses- One month	20.31	21.22	22.16
Maintenance spares			
Receivables-2 months	621.08	635.24	640.31
Less: security Deposit from consumers	297.01	297.36	299.68
Total working Capital	344.38	359.10	362.79
Interest rate (SBI-EBLR+2%) (%) *	11.15%	11.15%	11.15%
Interest on working capital	**38.40**	**40.04**	**40.45**

** EBLR of 9.15% as on 01-04-2024*

c) Interest on the security deposit

43. The licensee in the petition has claimed the actual interest on security deposit for the year 2024-25 and estimated the interest on security deposit from consumers at the rate of 6.50% for the years 2025-26 and 2026-27. The licensee has also claimed interest on notional deposit at the rate of 6.50% for the years 2024-25 to 2026-27. The claim of interest on security deposit and interest on notional deposit made by the licensee in the current petition is as shown below:

Table 22
Interest on Security Deposit for the control period (Rs. lakh)

Sl. No	Particulars	2024-25	2025-26	2026-27
1	Security Deposit (Rs Lakh)	297.01	297.36	299.68
2	**Interest on Deposit**	**18.93**	**19.33**	**19.48**
3	Notional deposit (Rs. Lakh)	234.75	230.32	232.62
4	**Interest on deposit @ 6.50%**	**15.26**	**14.97**	**15.12**
5	**Total (2+4)**	**34.19**	**34.30**	**34.60**

44. The Commission has examined the claims on interest on the security deposit of the licensee. ***The Commission is of the view that, the notional interest claimed by the licensee is not an allowable expenditure and hereby disallows the claim made by the licensee.***

45. In this connection, Regulation 72 of the Kerala Electricity Supply Code, 2014 is reproduced hereunder.

> ***72. Interest on security deposit.-*** *(1) The licensee shall pay to the consumer, intereston the security deposit furnished by him at the bank rate prevailing on the first of April of that year and it shall be payable annually with effect from date of such deposit.*
>
> *(2) The interest accrued during the financial year shall be adjusted in the energy bill of the consumer during the first quarter of the ensuing financial year.*
>
> *(3) If the adjustment of interest is delayed, interest at twice the bank rate shall be payable for the delayed period.*

46. As per Regulation 72 of the Kerala Electricity Supply Code, 2014 cited above, the licensee has to pay interest on the security deposit at the bank rate prevailing in the first April of that year. ***Considering this and the bank rate of 6.75% prevailing as on 01-04-2024, the Commission provisionally allows interest on security deposit for the control period as shown below.***

Table 23
Approved Interest on Security Deposit for the Control Period (Rs. lakh)

Particulars	2024-25	2025-26	2026-27
Security Deposit (Rs. lakh)	297.01	297.36	299.68
Interest on Deposit @ 6.75%	**20.05**	**20.07**	**20.23**

d) Bank Charges on Bank Guarantee/L.C to KSEB Ltd

47. The licensee has claimed Bank charges which includes the Letter of Credit issued in favour of KSEB Ltd to secure monthly power purchase bills and the bank charges on Rs.7.18 crore Bank Guarantee provided to KSEB Ltd as per the directions of the Hon. Supreme Court of India in civil appeal 2144/2011. The split up of the claim is shown below.

Table 24
Bank Charges projected for the Control Period.

Particulars	2024-25	2025-26	2026-27
Bank Charges on LC to secure cost of monthly power purchase from KSEBL	3.30	3.47	3.64
Bank Charges on Rs 7.18 Cr Bank Guarantee to KSEB	4.23	4.44	4.66
Total	**7.53**	**7.91**	**8.30**

48. The licensee has estimated the bank charges for opening the letter of credit to KSEB Ltd as per the power purchase agreement***. Considering the same, the Commission approves the bank charges for opening letter of credit as projected for the control period.***

49. With regard to the bank guarantee provided to KSEB Ltd as per the Orders of Hon. Supreme Court, the Commission has specifically directed the licensee that bank guarantee charges for the above purpose shall not be included in the allowable expenses. This is because the licensee has filed first appeal against the order of the Commission approving the arrear amount payable to KSEB Ltd. In the first Appeal, Hon. APTEL has upheld the order of the Commission. The licensee has filed second appeal before the Hon. Supreme Court and Hon. Supreme Court in the interim order, directed to provide bank guarantee for the said amount. ***The Commission is of the opinion that pending the outcome of the case before the Hon'ble Supreme Court, this amount shall not be considered at present. Accordingly, the Commission approves only the Bank Charges on L.C to KSEB Ltd. as part of interest and finance charges for the remaining years of the control period.***

Summary of the Interest and Finance Charges Approved

50. The interest and finance charges approved for the control period is tabulated below.

Table 25
Interest & Finance charges approved for the control period

Particulars	2024-25	2025-26	2026-27
Interest on Normative Loan	4.97	3.71	2.46
Interest on Working Capital	38.40	40.04	40.45
Interest on Security deposits	20.05	20.07	20.23
Bank Charges on LC to secure cost of monthly power purchase from KSEB Ltd	3.30	3.47	3.64
Bank Charges on Rs.7.18 Cr Bank Guarantee to KSEB	0.00	0.00	0.00
Interest and Finance charges	**66.72**	**67.29**	**66.78**

Other Debits

51. The licensee in the ARR petition has claimed Other Debits which include Section 3(1) Duty under the Kerala Electricity Duty Act and periodical inspection charges. In the current MPR petition, the licensee in Form D.4.3 has claimed Other Debits which include Section 3(1) Duty under the Kerala Electricity Duty Act, periodical inspection charges and provision for doubtful debts. The details of the claim are tabulated below;

Table 26
Details of Any other items (Rs. lakh)

Particulars	2024-25	2025-26	2026-27
Duty III	24.89	25.14	25.39
Inspection Charges	0.33	1.38	1.45
Provision for doubtful debts	7.14	7.50	7.87
Total	**32.36**	**34.02**	**34.71**

52. As shown above, the licensee has included Section III duty. Commission has not been admitting Section 3(1) Duty as a revenue expenditure since as per the Kerala Electricity Duty Act, the Electricity Duty under this Section on the sales of energy should be borne by the Licensee and shall not be passed on to the consumers. Section 3 of the Kerala Electricity Duty Act, 1963 is quoted hereunder,

"3. Levy of electricity duty on certain sales of energy by licensees;-

(1) Save as otherwise provided in sub-section (2); every licensee in the State of Kerala shall pay every month to the Government in the prescribed manner, a duty calculated at 6 naye paise perunit of energy sold for a price more than 12 naye paise per unit;

Provided that no duty under this sub-section shall payable by the Kerala State Electricity Board on the energy sold by it to another licensee.

(2) Where a licensee holds more than one license, duty shall be calculated and levied under this section separately in respect of each license.

(3) The duty under this Section on the sales of energy should be borne by the licensee and shall not be passed on to the consumer."

53. ***The Commission has consistently disallowed this claim on the grounds that the duty payable under Section 3(1) of the Kerala Electricity Duty Act cannot be passed on to consumers and therefore cannot be admitted as an allowable expenditure. The Commission maintains this position and accordingly disallows the licensee's claim for Section 3(1) duty for the remaining years of the control period.***

54. With regard to periodical inspection charges claimed by the licensee, the licensee for the year 2024-25 has claimed the actual inspection charges and has projected the same as approved in the ARR Order for the years 2025-26 and 2026-27. ***The Commission considers the same and approves the inspection charges as claimed by the licensee for the remaining years of the control period.***

55. With regard to the claim of provision for doubtful debts, the Commission has been disallowing the claim as no amount is written off during the year as Bad debt and the amount claimed is only a provision created for doubtful debts during the year. ***Since the amount is not declared as Bad debt and not written off in the accounts, the Commission hereby disallows the claim.***

56. Accordingly, the total other debits approved for the remaining years of the control period is as shown below:

Table 27
Approved other debits (Rs. lakh)

Particulars	2024-25	2025-26	2026-27
Inspection Charges	0.33	1.38	1.45
Section 3 Duty	-	-	-
Provision for doubtful debts	-	-	-
Total	**0.33**	**1.38**	**1.45**

Return on Net Fixed Assets

57. The licensee has claimed Return on NFA computed as per Regulation 28 of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021. As per Regulation 28(2) of the Tariff Regulations 2021, if there is no equity invested in the business or equity invested in the regulated business of the

distribution licensee is not clearly identifiable, return at the rate of 5.50% shall be allowed on the net fixed assets at the beginning of the financial year for such regulated business. Accordingly, the licensee has claimed a RoNFA at the rate of 5.50% on the net fixed assets as shown below:

Table 28
Computation of RoNFA claimed for the control period

Particulars	2022-23 (Trued up)	2023-24 (Trued up)	2024-25	2025-26	2026-27
Net Fixed Assets at the beginning of the year	190.23	178.05	183.17	170.21	158.18
Less: Consumer contribution	7.89	14.96	14.96	14.96	14.96
Less: Net Fixed Assets on which interest is allowed	67.00	68.08	61.21	58.45	58.31
Balance value of Net fixed assets at the beginning of the year	**115.34**	**95.01**	**107.00**	**96.80**	**84.91**
Rate of return	5.50%	5.50%	5.50%	5.50%	5.50%
Total return on Net Fixed Assets	**7.03**	**5.23**	**5.89**	**5.32**	**4.67**

58. Regulation 28 of the Tariff Regulations, 2021 provides for Return on equity share capital or net fixed assets.

28. Return on Paid up Equity or Net Fixed Assets. –

(1). Return on equity shall be computed in rupee terms, on the paid-up equity share capital and shall be allowed at the rate of fourteen percent (14%) per annum:

Provided that in the case of increase in the equity share capital of the generating business/ company, transmission business/ licensee, distribution business/ licensee and State Load Despatch Centre, the additional amount of equity share capital infused into the generating business/ company, transmission business/ licensee, distribution business/ licensee and State Load Despatch Centre, and approved by the Commission for the assets put to its intended use shall be provided with ROE at 14% per annum on pro rata basis from the date of issuance of the equity shares:

Provided further that the generating business/ company, transmission business/ licensee, distribution business/ licensee and State Load Despatch Centre shall provide the complete details of the source of funding for such equity share capital.

(2). If there is no equity share capital invested in the business or the equity invested in the regulated business of the generating business/ company or transmission business/ licensee or distribution business/ licensee or State Load Despatch Centre or such equity share capital is not clearly identifiable, return at the rate of 5.50 percent shall be allowed on the net fixed assets at the beginning of the financial year for such regulated business:

Provided that the net fixed assets shall be exclusive of the assets created out of consumer contribution, deposit works, capital subsidy or grants.

59. Based on above Regulation 28 of Tariff Regulations, 2018, the return shall be allowed at 5.50 percent on the net fixed assets at the beginning of the financial year for such regulated business.

Table-29
RoNFA approved for the control period (Rs. lakh)

Particulars	2024-25	2025-26	2026-27
Opening GFA	453.07	453.07	453.07
(Less) Accumulated depreciation	267.45	281.19	294.93
(Less) Consumer contribution.	14.96	14.96	14.96
(Less) GFA for which interest charges are allowed	54.34	40.60	26.86
Balance value of Net Fixed Assets at the beginning of the year	116.32	116.32	116.32
Rate of Return	5.50%	5.50%	5.50%
Return on Net Fixed Assets	**6.40**	**6.40**	**6.40**

Revenue from Sale of Power

60. The licensee has assumed a 1% annual increase in average sales for 2025-26 and 2026-27, based on actual sales from 2022-23 to 2024-25. The licensee has stated that the revenue estimates are based on the latest tariff order (OP No.18/2023 dated 05.12.2024). The comparison of actuals for the year 2022-23, 2023-24 and revised projections for the year 2024-25 to 2026-27 is shown below:

Table 30
Details of revenue from sales as per Revised ARR&ERC for 2022-23 to 2026-27

Con. Category	2022-23 (Actuals)			2023-24 (Actuals)		
	Consumption (lakh units)	Total (Rs.lakh)	Avg realisation	Consumption (lakh units)	Total (Rs.lakh)	Avg realisation
HT IA Industrial	316.60	2,310.81	7.30	334.50	2476.51	7.40
HT - I B (IT Industrial)	-	-	-	0.30	3.62	12.07
HT II (Non Ind/Comr)	4.60	44.60	9.70	4.40	41.50	9.43
HT III Agriculture	3.40	17.22	5.06	3.50	17.82	5.09
HT IV Commercial	20.50	186.90	9.12	20.40	190.79	9.35
LT I Domestic	77.80	375.20	4.82	79.30	394.05	4.97
LT IV Industries	5.90	41.30	7.00	5.20	28.82	5.54
LT V Agriculture	0.20	0.50	2.50	0.10	0.33	3.30
LT VI Non-Domestic	17.80	161.07	9.05	17.80	163.97	9.21
LT VII Commercial	34.00	348.96	10.26	38.20	380.62	9.96
LT VIII Public Lighting	3.90	21.00	5.38	4.10	22.96	5.60
LT TOD Tariff	0.20	1.37	6.85	0.10	0.57	5.70
Total	**484.90**	**3,508.93**	**7.24**	**507.90**	**3721.56**	**7.33**

Con. Category	2024-25 (Revised estimate)			2025-26 (Revised estimate)		
	Consumption (lakh units)	Total (Rs.lakh)	Avg realisation	Consumption (lakh units)	Total (Rs.lakh)	Avg realisation
HT IA Industrial	313.90	2,374.94	7.57	316.91	2,407.87	7.60
HT - I B (IT Industrial)	0.70	8.60	12.29	0.74	4.26	5.76
HT II (Non Ind/Comr)	3.80	35.50	9.34	3.89	37.98	9.76
HT III Agriculture	3.70	19.37	5.24	3.78	19.78	5.23
HT IV Commercial	21.50	201.47	9.37	21.72	215.05	9.90
LT I Domestic	81.00	422.08	5.21	81.81	453.35	5.54
LT IV Industries	5.70	43.70	7.67	5.78	42.42	7.34
LT V Agriculture	0.20	0.65	3.25	0.21	0.71	3.38
LT VI Non-Domestic	18.40	172.31	9.36	18.56	177.52	9.56
LT VII Commercial	40.50	420.20	10.38	40.90	424.41	10.38
LT VIII Public Lighting	4.30	24.77	5.76	4.38	26.38	6.02
LT TOD Tariff	0.20	1.75	8.75	0.21	1.69	8.05
LT IX (Public Lighting)	0.10	0.11	1.10	-	-	-
LT X Charging Stations	0.10	1.01	10.10	-	-	-
Total	**494.10**	**3,726.46**	**7.54**	**498.89**	**3,811.42**	**7.64**

Con. Category	2026-27 (Revised estimate)		
	Consumption (lakh units)	Total (Rs.Lakh)	Avg realisation
HT IA Industrial	320.08	2,425.11	7.58
HT - I B (IT Industrial)	0.74	3.59	4.85
HT II (Non Ind/Comr)	3.93	38.36	9.76
HT III Agriculture	3.82	19.98	5.23
HT IV Commercial	21.93	217.19	9.90
LT I Domestic	82.63	457.77	5.54
LT IV Industries	5.83	42.84	7.35
LT V Agriculture	0.21	0.71	3.38
LT VI Non-Domestic	18.75	179.34	9.56
LT VII Commercial	41.30	428.65	10.38
LT VIII Public Lighting	4.43	26.63	6.01
LT TOD Tariff	0.21	1.70	8.10
Total	**503.86**	**3,841.87**	**7.62**

61. As per the details submitted in the petition, the major revenue is realized from HT I A Industrial category, LT I Domestic & LT VII Commercial categories. The licensee has projected the revenue from sales considering the applicable tariff for the consumer categories. ***Considering the increase in revenue from sale of power proposed by the licensee, the Commission hereby approves the Revenue from sale of power for the remaining years of the control period as claimed by the licensee.***

Non-Tariff Income

62. The licensee in the current petition has projected non tariff income for the remaining years of the control period, which includes Interest on deposit with KSEB, interest on accumulated surplus, Miscellaneous recoveries etc. The non tariff income proposed by licensee for the remaining years of the control period with compared to previous years is shown below:

Table 31
Non tariff Income (Rs lakh)

Particulars	2022-23			2023-24		
	ARR Approved	Truing Up Petition	Trued Up	ARR Approved	Truing Up Petition	Trued Up
Miscellaneous recoveries	2.00	3.44	3.44	2.00	49.38	4.87
Interest on Deposit with KSEB	14.84	10.51	10.51	14.84	17.36	17.36
Provision for Interest on Deposit with KSEB		(10.51)	-	-	-	-
Revenue from other operations	8.26	9.31	9.31	8.35	9.12	9.12
Interest on accumulated Surplus	43.95	51.94	52.74	43.95	78.27	77.46
Total	**69.05**	**64.69**	**76.00**	**69.14**	**154.13**	**108.81**

Particulars	2024-25		2025-26		2026-27	
	ARR Approved	MPR	ARR Approved	MPR	ARR Approved	MPR
Miscellaneous recoveries	2.00	15.77	2.00	10.51	2.00	10.59
Interest on Deposit with KSEB	14.84	18.74	14.84	18.33	14.84	19.33
Revenue from other operations	8.43	-	8.51	-	8.59	-
Interest on accumulated Surplus	43.95	79.57	43.95	76.46	43.95	67.99
Total	**69.22**	**114.08**	**69.30**	**105.30**	**69.38**	**97.91**

63. The projection made by the licensee includes miscellaneous recoveries and interest on accumulated surplus. The licensee in the petition has stated that, the non tariff income mainly includes delayed payment fee, maintenance charges etc., which has been arrived at an increase of 1% over the average of past three years and same increase thereon. ***Considering the submissions by the licensee, the Commission hereby approves the miscellaneous recoveries as projected in the petition.***

64. The licensee in the petition had claimed actual interest on deposit with KSEBL for the year 2024-25 and calculated Interest on deposit with KSEB Limited on the estimated deposit being two months power purchase cost and at the applicable bank rate as on 1st April 2025 for the years 2025-26 and 2026-27. ***The Commission analysed the details submitted by the licensee and hereby approves the interest on deposit with KSEBL as claimed by the licensee.***

65. As per Regulation 83 of Tariff Regulations, 2018, the other income includes normative interest income calculated based on accumulated regulatory surplus. The relevant portion of the Regulation is shown below.

83. Other Income. –

(1) The receipts of other income of the distribution business/ licensee, as approved by the Commission, shall be deducted from the Aggregate Revenue Requirement while determining the tariff of the distribution business/ licensee.

(2) The indicative list of items to be considered as other income includes, -

(i) interest on staff loans and advances;
(ii) income from statutory investments;
(iii) income from trading;
(iv) income from rent of land or buildings;
(v) income from sale of scrap;
(vi) income from staff welfare activities;
(vii) rental from staff quarters;
(viii) excess found on physical verification;
(ix) interest on investments, fixed and call deposits and the bank balances;
(x) interest on the advances to suppliers/ contractors;
(xi) income from hire charges from the contractors and others;
(xii) income due to right of way granted for laying fibre optic cables/ coaxial cables on the distribution system;
(xiii) income from advertisements etc.;
(xiv) miscellaneous receipts;
(xv) commission for the collection of electricity duty;
(xvi) interest received on delayed or deferred payment on the bills;
(xvii) rebate from central generating stations;
(xviii) interest income earned from security deposits;
(xix) normative interest income calculated based on accumulated regulatory surplus;
(xx) Any other receipts.

66. In the present petition, the licensee has claimed interest on the accumulated surplus for the remaining years of the control period in accordance with the Tariff Regulations, 2021. The licensee has submitted that the interest on regulatory surplus should be computed only from the commencement of the current control period as per the said Regulations. For the year 2024-25, the licensee has calculated the interest by applying an interest rate of 6.80%, the SBI retail term deposit rate prevailing at the beginning of the year, on the accumulated surplus approved in the Truing Up Order for 2023-24. The licensee has also projected the interest for 2025-26 and 2026-27 based on the provisional and projected accumulated surplus for those years. ***After examining the details furnished by the licensee, the Commission hereby provisionally approves an amount of Rs.79.57 lakh as interest on accumulated surplus for the year 2024-25 and for the remaining years of the control period.***

67. Accordingly, considering the miscellaneous recoveries, interest on accumulated surplus and Interest on Deposit with KSEB the Non-tariff income approved for the control period is tabulated below.

Table 32

Non-Tariff Income approved for the Control Period (Rs. lakh)

Particulars	2024-25		2025-26		2026-27	
	Projected	Approved	Projected	Approved	Projected	Approved
Miscellaneous recoveries	15.77	15.77	10.51	10.51	10.59	10.59
Interest on Deposit with KSEB	18.74	18.74	18.33	18.33	19.33	19.33
Interest on accumulated Surplus	79.57	79.57	76.46	79.57	67.99	79.57
Total	**114.08**	**114.08**	**105.30**	**108.41**	**97.91**	**109.49**

Revenue Surplus/Gap

68. Based on the above, the revenue surplus/gap for the remaining years of the Control period estimated by the licensee and that approved by the Commission are as follows.

Table 33

Revenue Surplus/ Gap, projected and Approved (Rs. lakh)

Particulars	FY 2024-25		FY 2025-26		FY 2026-27	
	Projected	Approved	Projected	Approved	Projected	Approved
Purchase of power	3,434.48	3491.65	3,568.36	3617.04	3,596.13	3643.52
Employee Cost	254.83	182.75	267.58	190.89	294.34	199.39
A&G Expenses	20.80	15.14	21.73	15.82	22.70	16.52
R&M Expenses	51.15	45.83	56.88	47.88	59.72	50.01
Depreciation	14.56	13.74	15.14	13.74	79.61	13.74
Interest and Finance charges	86.35	66.72	87.23	67.29	137.86	66.78
Other Debits	32.36	0.33	34.02	1.38	34.71	1.45
Return on NFA	7.03	6.40	5.32	6.40	4.67	6.40
Total Expenditure/ ARR	**3,901.56**	**3822.56**	**4,056.26**	**3960.44**	**4,229.74**	**3997.81**
Revenue from Sale of Power	3,726.46	3726.46	3,811.42	3811.42	3,841.87	3841.87
Other Income	114.08	114.08	105.30	108.41	97.91	109.49
Total Revenue/ERC	**3,840.54**	**3840.54**	**3,916.72**	**3919.83**	**3,939.78**	**3951.36**
Revenue Surplus / (Deficit)	**(61.02)**	**17.98**	**(139.55)**	**(40.61)**	**(289.97)**	**(46.45)**

Order of the Commission

69. The Commission considered the petition for approval of Mid Term Performance Review, the subsequent revised submissions furnished by the licensee along with the comments of KSEB Ltd. ***Accordingly the approved ARR & ERC for the 2024-25, 2025-26 & 2026-27 are as shown below.***

Table 34
Revenue Surplus/ Gap approved by the Commission for the Control Period (Rs. lakh)

Particulars	2024-25		2025-26		2026-27	
	Projected	Approved	Projected	Approved	Projected	Approved
Total Revenue Expenditure	3901.56	**3822.56**	4056.26	**3960.44**	4229.74	**3997.81**
Total Income	3840.54	**3840.54**	3916.72	**3919.83**	3939.78	**3951.36**
Net Surplus/Gap	(61.02)	**17.98**	(139.55)	**(40.61)**	(289.97)	**(46.45)**

70. The petition is disposed of. Ordered accordingly.

Sd/-
Adv. A. J. Wilson
Member

Sd/-
Sri. B. Pradeep
Member

Approved for issue

Sd/-
Sri. Rajendran.K.V
Secretary